

Table of Contents

1. Introduction.....	3
1.1. Study Background.....	3
1.2. Context of the Study.....	3
1.3. Problem Statements.....	4
1.4. Research Questions.....	5
1.5. Research Objectives.....	6
1.6. Scope of the Research.....	6
1.7. Significance of the Study.....	6
2. Literature Review.....	8
3. Methodology.....	21
3.1. Research philosophy.....	21
3.2. Research approach.....	21
3.3. Research Design.....	21
3.4. Sampling Distribution.....	21
3.5. Sampling Technique.....	21
3.6. Sampling Unit.....	22
3.7. Marker Variable.....	22
3.8. Statistical Technique.....	22
3.9. Measures.....	23
4. Results and Discussion.....	24
References.....	29

1. Introduction

1.1. Study Background

The topic of our research is “ What is the effect of Corporate Social Responsibility (CSR) and Environmental strategy on green employee loyalty. ” For this topic, several past articles have been viewed by us. We have taken the following as our variables:

- Environmental strategy as our independent variable,
- Green loyalty employees as our dependent variable,
- Corporate Social Responsibility (CSR) is our independent variable, and
- Green product attitude, and green trust, are our moderators for the research study.

Environmental pollution and global warming are a major global issue that requires greater awareness of environmental ethics from all stakeholders, including businesses. Environmentally friendly employees and all members of society at all levels must support the efforts of businesses to protect the environment. As a result, employees must adhere to higher moral standards as well as a pro-environmental commitment, also known as pro-environmental behavior. The Business Resource Efficiency Guide says being environmentally friendly will help businesses save money, use fewer resources, do better for the environment, and create a more positive image. Society's evolving concerns about the climate have fueled the rise of another breed of buyer whose purchasing behavior shows a natural response (Raza, 2020). Buyers appear to be more worried about the possible negative effects of their purchase actions, which influence their purchasing behavior. Ecolabels are frequently used to tell customers about a product's environmental features, making them an important green marketing and promotion tool. Buyers cannot directly test the qualities of green products, so they rely on eco-labels to authenticate green product claims. Ecolabels are a way of promoting sustainable behavior without limiting buyer choice, minimizes the uncertainties and costs associated with information search, and enhance the possibility that buyers would utilize this information. It is proof of the changing buyer behavior and attitude.

1.2. Context of the Study

In our research study, the constructs are correlated with each other. Let's discuss them in sequence. In the first section, we will discuss the focus of our study - green employee loyalty and its dependence on environmental strategy. If the strategies set by the business and stakeholders are strong enough for environmental sustainability, then it will directly increase the loyalty of a green consumer. A growing trend indicates buyers want the environment to be safe and pollution free. Between environmental strategy and green employee loyalty, we have used a moderator namely, green product attitude. The moderator is the key determinant to how environmental strategies increase or decrease their impact on a green employee's loyalty. So, if the attitude of

the green employee is strong then this will benefit the operating side of the company that is environmental strategies set by the companies.

In the second section of the research we will discuss another independent variable which is corporate social responsibility, and it has a moderator called green trust. Here, the activities done by the top management and the decisions taken by them are linked to green employee loyalty. If the top management does things beneficial for the environment and have green trust, it will increase the employee loyalty. If any company or stakeholder gains the trust of the employees it will result in their loyalty.

The article written by Hewapathirana (2019) states that there is conflicting evidence to support the claim that small and medium-sized enterprises (SME) strategies have traditionally focused on efficiency issues due to the potential lack of opportunities for small businesses. We propose that one of the key reasons for these contradictory findings is that SMEs, due to their unique qualities, are able to build and deploy particular organizational capacities. Environmental proactiveness is the link between these strategies and SME performance. Sun et al., (2022) reported findings that prove that SMEs can successfully implement environmental strategies that are comparable to large corporations' advanced environmental practices. As a result, we contend that, contrary to popular belief, SMEs' environmental plans are more likely to be proactive, based on special organizational skills connected to the distinctive strategic traits of SMEs.

1.3. Problem Statements

For our research topic, we have a few problem statements that are discussed in detail under this section of the introductory chapter. Our first problem in theory that we noticed is, why in Pakistan there is a lack of green employee loyalty and trust. How could environmental strategies and CSR better help this problem to be get solved?

In regards to the problems in empirical evidence, it has been noted that past research papers reviewed on green employee loyalty have not collected data from Karachi, Pakistan. Considering the advantage of being based in this area and in light of this research gap, we aim to solve this empirical evidence problem. Our respondents exclusively reside in Karachi where green employee loyalty is being researched for the first time.

For our research, the data collection method opted is quantitative data findings. The challenge we came across in this methodology is the shortage of time. As surveys must be collected from audiences but the time limitation was short.

For our methodology, we are using a regression model in the Smart PLS software. Here, we met another challenge regarding the problem in methodology with its statistical techniques. Moreover, we used purposive data collection approach where the questionnaire contains two qualifier questions to analyze whether the respondent is suitable for our research topic, then he or she can move forward.

The unique contribution regarding the usage of new theories. In our model, we have used a new theory which is about the analysis of the operating side of environmental strategy on green employees loyalty.

In our research, we make another great contribution with the use of new moderators. Our research uses new moderators which have never been used in Pakistan. Those moderators are namely, “green product attitude” and “green trust.”

Another important practical problem highlighted is, how the cooperate world is dealing with environmental problems to provide a sustainable environment to its employees and nature.

In recent years, climate change has evolved into a major problem for the world because it threatens our very existence. The severity of this problem is beginning to affect people’s behavior and attitude. This shift in people is categorized as green behavioral and attitudes which also affect their relationship with companies. This leads us to the focus of our study – the green employee loyalty.

With the green behavior and attitude, people are more conscious of how their choices affect the environment. As a result, they are also conscious about the sustainability practices of their workplaces and their impact on the environment. The green employee loyalty studies how loyal an employee with green behavior and attitude might be towards their workplace. (Carroll et al., 2020).

The lack of environmental strategies and corporate social responsibility practices, we witness a higher turnover. Companies with an environmental strategy have proven to be beneficial for a company. (Cachón-Rodríguez et al., 2021)

Reflecting on past research and recent work on this topic is we have found that CSR which comes under the top management has taken productive decisions to develop or increase green employee loyalty and green trust. The research gap in this topic that we found is that nothing has been done in Pakistan to analyze the impact of environmental strategy on green employees loyalty. We aim to answer questions such as What has been done by the corporate side to increase the loyalty of green employees? How their attitude towards green products can be increased? While these have been studied in the past, but it is a first in Pakistan.

The data set introduced in our research topic is also consider new because our research introduces a new relationship between independent variables (environmental strategy and corporate social responsibility) and dependent variables (green employee loyalty). This work has not been done in Pakistan before but in other countries like Spain, the US, and Tokyo. (Pan et al., 2022).

Lastly, the strategies for environmental issues are being made by Pakistan but how the relationship could be strong for the loyalty gain of green employees, is yet to be studied in Pakistan. Such that in this way, green product attitudes are also being compromised by green employees.

1.4. Research Questions

For our study, we have listed several research questions below. All are answered through scholarly articles and with the help of our data collection method.

1. How in Pakistan we can gain green employee loyalty?
2. What strategies must be made by the company operating side to gain the loyalty of their green employees?
3. As the green product attitude is depending on the relationship between environmental strategies and green employee loyalty, how the relationship can be made strong for both of them?
4. What decisions are being made by the cooperate world for gaining the green employee's trust?

1.5. Research Objectives

The main objective behind our research study is to maintain a healthy environment for Pakistan and the world as well. There should be balanced strategies that will benefit the employees and the environment as well. Because if there will be a healthy and clean environment, we could be able to live more years in fresh and clean air. Our food will grow freshly, and we could be able to eat the best-grown foods. Green employees who love nature will have good faith in decisions and strategies taken by the cooperate world. We have sorted out the following research objectives for our research work :

- To find out how the implemented environment strategies affect positively green employee loyalty.
- To evaluate the positive amount effect of corporate social responsibility on Green employee loyalty.
- To find out how the green product attitude moderates the relationship between environmental strategy and green employee loyalty.
- To find out the relationship between green trust moderates, corporate social responsibility, and green employee loyalty.

1.6. Scope of the Research

The scope of the research is very wide. In past, numerous researches have been done on this subject because we cannot neglect the importance of sustainable environment in our life. Each era has different environmental problems, and every era has done something to protect the globe or its country. Our research has found a new theory which is the effect of environmental strategies on green employee loyalty. For this theory, nothing is done being implemented in Pakistan either by SMEs or by large industries. Thus, leading us to the conclusion that we our research has great scope in Pakistan.

1.7. Significance of the Study

Our study holds great significance for professionals because our findings are directly related to the corporate world. The research aims to highlight the role of environmental strategies and corporate social responsibility in green employee loyalty. To conclude, our study will not be significant for a student, the academic world, or a common person. However, a professional can utilize the findings in a number of ways if they have a green company.

According to our findings, SMEs can embrace proactive environmental measures. These abilities included shared vision, stakeholder management, and strategic proactivity. Our data classifies SMEs' environmental strategies into three categories, similar to those of bigger firms: leadership, pollution prevention, and reactive & proactive environmental strategies, all of which demonstrated a positive and substantial link with large business performance.

We also discovered a link between ecologically efficient and creative preventative environmental actions and business success in SMEs. A proactive environmental strategy may be a viable option for both small and large businesses since the positive association between the most proactive environmental practices and company performance is comparable with findings for larger businesses. Overall, our research indicates that small and medium-sized firms (SMEs) play an essential role in minimizing the negative environmental repercussions of business. More studies on the environmental practices of SMEs should be conducted due to their significant effect on global economies. Contrary to earlier studies, many of the competencies required to build proactive environmental approaches may be supported by certain strategic features of small organizations, despite the fact that bigger firms frequently take a more proactive environmental approach than smaller enterprises.